Time: 60 Min.
Marks: 85

PW ONLYIAS

SD2630

SRIJAN MAINS PROGRAM+ 2026

DAILY TEST-30: ECONOMIC DEVELOPMENT

Name: Vaibhav Mishra	Marks Obtained:
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Test Code:	Evaluator's ID:
Date: 20/07/2026	

INDEX TABLE		
Question No.	Maximum Marks	Marks Obtained
1		
2		
3		
4		
5		
6		
7		
Total		

For Evaluator Only	
Parameters	(Rate out of 5)
Introduction Competence	
Content Coverage	
Conclusion Competence	
Presentation & Structure	
Language Proficiency	

Instructions for Candidate

- Write your details such as Name, contact No, Email Id, etc. in the space provided in the cover page.
- Answer the questions in not more than the word limits indicated in the brackets at the end of the questions.
- Attempt of a part / question shall be counted in sequential order.
- Write legibly and neatly in ink.

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Overall Feedback and Suggestions for Improvement

Feedback on basic answer writing skills (including language proficiency, presentation & structure)

Feedback on content quality (including introduction, main body and conclusion)

Improvement points/value addition (For level 2 evaluator only)

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Q. 1

भारत के जनसांख्यिकीय लाभांश को रोजगार-सृजन के प्रभावी इंजन के रूप में परिवर्तित करने के लिए एक सुदृढ़ जोखिम-पूँजी (रिस्क कैपिटल) पारिस्थितिकी तंत्र की आवश्यकता है। इस परिवर्तन को साकार करने में विद्यमान चुनौतियों तथा आवश्यक उपायों की विवेचना कीजिए। (10 अंक, 150 शब्द)

A robust risk-capital ecosystem is essential for transforming India's demographic dividend into an engine of employment creation. Discuss the challenges and measures required to achieve this transition." (10 Marks, 150 Words)

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

India is going through the golden window of Demographic Dividend which is from 2005 ~~to~~ and will peak in 2041.

It needs to transform but faces various challenges

1) Skilling deficit leading to demographic disaster. (eg) Only 6% of India's manpower in skilled - MoHFW.

2) Gender Exclusion focusing on patriarchy. (eg) Only 40% women in workforce (FLFPR)

3) Technology deficit : (eg) Only 27% women in STEM courses. - ASER Report.

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

4) Digital illeteracy leading to stalled Digital growth. (eg) 35% by TRAI

Measures to correct this

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1) Upskilling (eg) Skill India & PMKVY

2) Digital Education via DIKSHA and e-governance via UMANG (eKranti)

3) Gender inclusion : (eg) 5 lakh Crores for Gender Budgeting in Budget.

4) Health Focus : (eg) PMJAY (Ayushman)

5) Education : (eg) Samagra Siksha Abhiyan.

Thus the Demographic Divident must be reaped in order to reach Vikasit Bharat @ 2047.

Q. 2

निरंतर बनी रहने वाली खाद्य मुद्रास्फीति भारत की समष्टि आर्थिक (मैक्रोइकॉनॉमिक) स्थिरता के लिए एक बड़ी चुनौती बनी हुई है। खाद्य कीमतों के लगातारहो रही वृद्धि के लिए उत्तरदायी कारकों की चर्चा कीजिए तथा इस प्रकार की मुद्रास्फीति से निपटने में भारतीय रिजर्व बैंक (RBI) के मौद्रिक नीतिगत उपायों की प्रभावशीलता का मूल्यांकन कीजिए।

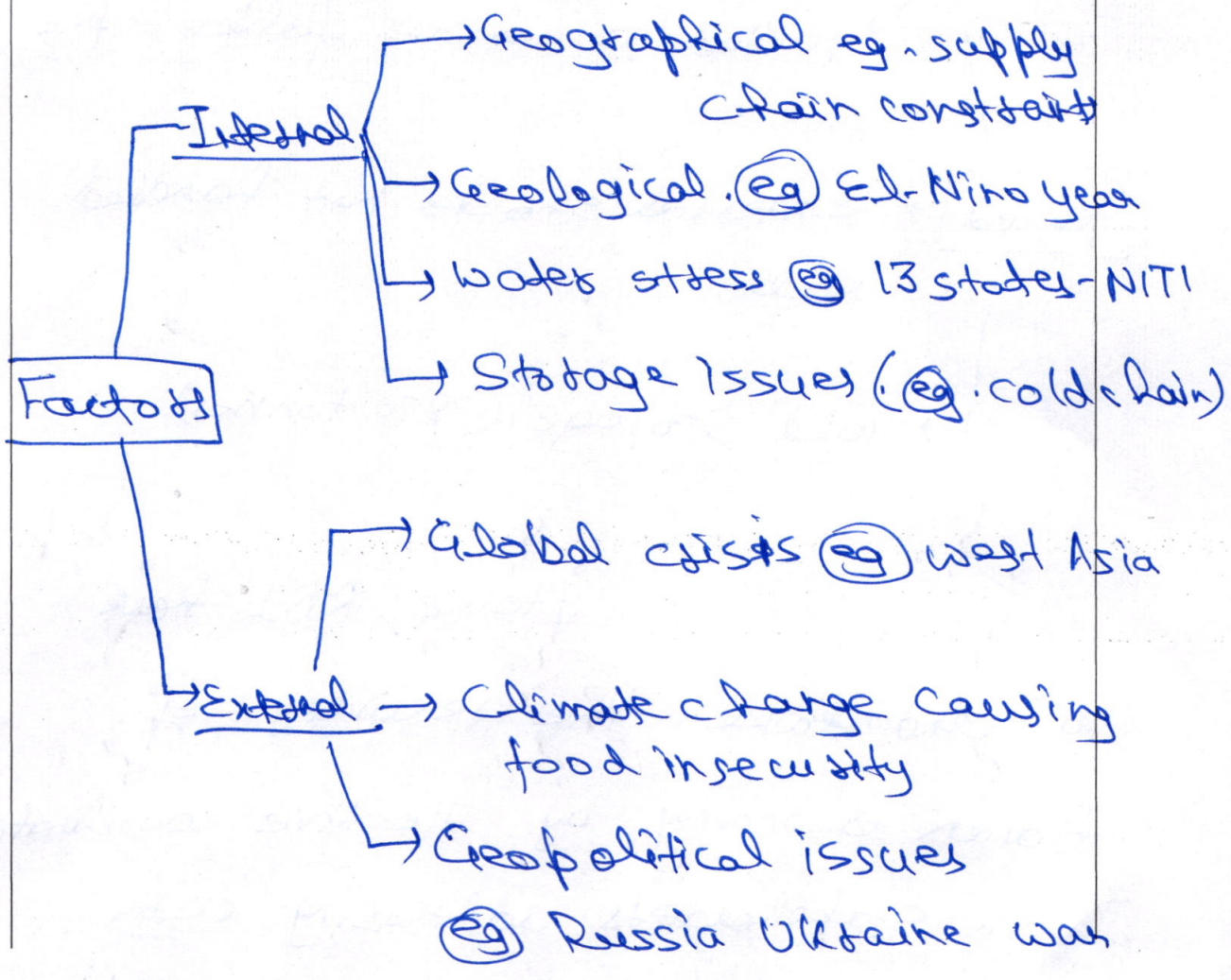
(10 अंक, 150 शब्द)

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

Persistent food inflation remains a major challenge for India's macroeconomic stability. Discuss the factors responsible for sustained food price pressures and evaluate the effectiveness of the RBI's monetary policy measures in addressing such inflation.

(10 Marks, 150 Words)

Recent rise in food inflation is causing major hurdles in sustaining persistent growth.



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Recent RBI's ~~~~ monetary policies effectiveness evaluation

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

- Succeeds
  - Repo rate remained same → growth pace.
  - Stabilization of fuel prices (eg) LPG / fertilizers
  - Injection of forex ~~~~ (eg) declined to $700 bn
- failed
  - failed to address falling rupee
  - External stocks not handled well
  - Gold storage (787.0 tonnes)

Hence, RBI have to undertake the recovery of Indian economy by effective coordination with stakeholders addressing core and headline Inflation.

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Q. 3

भारत जैसी एक विकासशील अर्थव्यवस्था के संदर्भ में, जब वह मुक्त पूँजी प्रवाह की अनुमति देती है तथा विनिमय दर को स्थिर बनाए रखने का प्रयास करती है, तब घरेलू ब्याज दरों एवं मुद्रास्फीति पर स्वतंत्र नियंत्रण बनाए रखने में आने वाली चुनौतियों का परीक्षण कीजिए। (10 अंक, 150 शब्द)

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

Examine the challenges a developing nation like India faces in independently managing its domestic interest rates and inflation when it simultaneously permits free capital flows and seeks to stabilize its currency's exchange rate. (10 Marks, 150 Words)

The concept of impossible ~~trinity~~ trinity argues that a country cannot manage interest rates with free capital flow & open currency exchange rate.

Challenges in managing domestic interest rates and inflation:

1) Impact of external shocks: (eg) west Asia crisis.

2) Regulation and attraction dilemma of investments. (eg) FDI

3) Attraction of exporters of ~~off~~ India to export (eg) Agriculture products.

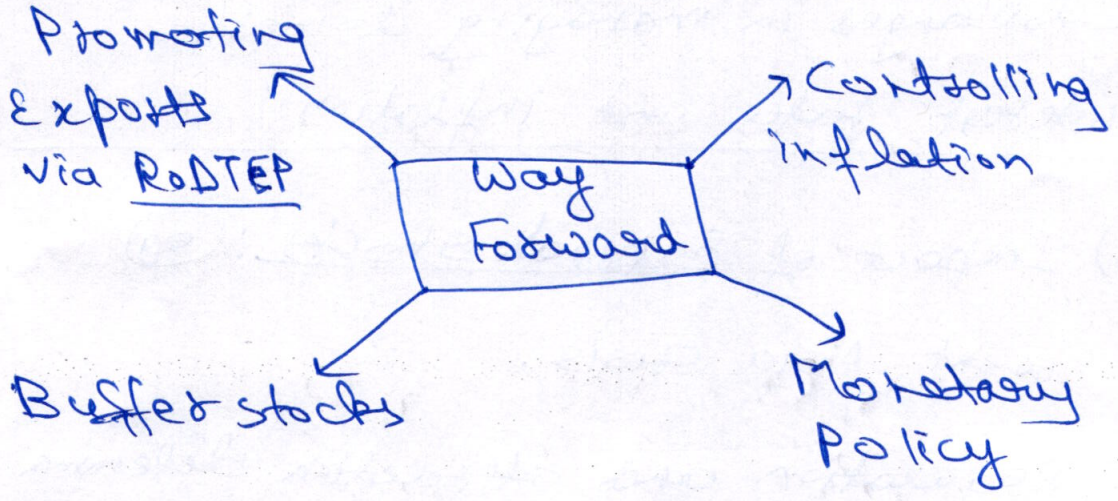
उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

4) Currency exchange rate: India follows a managed / pegged exchange rate.

5) Current account and capital account convertability.

6) Climatic issues (eg) El-Nino

7) Infrastructural issues. (eg) Road transport



Thus, India needs to manage the exchange rates, inflation and capital flows to stabilize currency.

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Q. 4

विकास के एक अपरिष्कृत संकेतक (crude indicator) के रूप में 'प्रति व्यक्ति सकल घरेलू उत्पाद' का आलोचनात्मक परीक्षण कीजिए। (10 अंक, 150 शब्द)

Critically examine 'per capita' GDP as a crude indicator of development. (10 Marks, 150 Words)

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

Per Capita Gross Domestic Product (GDP) refers to the idea of calculating the GDP per person.

Per capita GDP = $\frac{\text{GDP}}{\text{Population}}$

Benefits of Indicator

1) Capture growth per person

2) Address the issue of illusioned growth.

3) Take into account the deflated and nominal/real GDP.

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

4) Easy comparision with other nations.

5) Better than GDP or GVA as it captures population data as well.

Issues

1) No welfare and Environmental concerns included.

2) Exclusion of inequality calculation
   (eg) Lorenz curve (Gini coefficient)

3) Only captures Geographical production.

4) Depriciation is excluded.

5) Net factor income from abroad is excluded.

Thus, GDP-per capital should include quality as well to show true image of economy.

Q. 5

केंद्रीय बैंक द्वारा सरकार को अधिशेष का हस्तांतरण अल्पकालिक राजकोषीय राहत प्रदान तो कर सकता है, किंतु यह केंद्रीय बैंक की संस्थागत स्वतंत्रता तथा मौद्रिक नीति की विश्वसनीयता पर सवाल भी खड़े करता है। इस संदर्भ में, राजकोषीय आवश्यकताओं और मौद्रिक स्थिरता के बीच संतुलन बनाए रखने में भारतीय रिज़र्व बैंक (RBI) की भूमिका का आलोचनात्मक परीक्षण कीजिए।" (15 अंक, 250 शब्द)

Central bank surplus transfers can provide fiscal support to the government but may also raise concerns regarding institutional independence. Critically examine the role of the RBI in balancing fiscal needs with monetary stability. (15 Marks, 250 Words)

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

RBI is the central banker of India and have a lot of ways of earning money. eg forex management, interests earned on loans, etc.



Role of RBI in Balancing needs (fiscal) with monetary stability :-

1) Manage Inflation targeting of 4% ± 2% along with growth.

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

2) Lender of last resort to the banks in case of crunch.
(eg) MSF (Marginal standing Facility)

3) Manager of Government security leading to management of money.

4) Surplus transfer to government for Bridging the deficit.

Issues in the management of RBI

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1) Challenge to Institutional Autonomy of RBI. (eg) Surplus transfer

2) Balancing volatility of external events. (eg) Iran-Israel-USA war.

3) Monetary Policy influenced heavily by Fiscal Policy. (eg) Freebies.

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

4) Government's interference. (eg) Monetary Policy Committee have 3 members from Government.

Way Forward

1) Autonomy to RBI via Independent Board.

2) No timely surplus transfer but use the excess as Investments.

3) Clear SOP and Guidelines for no arbitrary decisions of Government.

4) Enforcing RBI's ideas and recommendations. (eg) YV Reddy & Rekhi Comm.

Thus, RBI should remain the custodian of India's Monetary policy for Amrit Kaal

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Q. 6

हाल के वर्षों में आर्थिक संवृद्धि को प्रोत्साहित करने तथा निजी निवेश को आकर्षित (क्राउड-इन) करने के उद्देश्य से सरकार ने सार्वजनिक पूँजीगत व्यय पर विशेष बल दिया है। इस रणनीति की प्रभावशीलता का समालोचनात्मक मूल्यांकन कीजिए। साथ ही, घरेलू संसाधनों को जुटाने के समक्ष उभरती चुनौतियों की विवेचना करते हुए दीर्घकालिक एवं समावेशी विकास के लिए वैकल्पिक मार्ग सुझाइए।" (15 अंक, 250 शब्द)

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

In recent years, public capital expenditure has been heavily relied upon by the government to drive economic growth and 'crowd-in' private investment. Evaluate the effectiveness of this strategy. Discuss the emerging challenges in domestic resource mobilization and suggest alternative avenues to sustain long-term growth.

(15 Marks, 250 Words)

Recent Economic survey shown that the Capital Expenditure (CAPEX) has remained at 30%. (majorly by Government at 54%.)

However, this strategy is not that effective because

1) Crowding out of private players.

2) Low investments in Research and Development. eg 0.7% only

3) Rising debt of Government.

eg 55.6% of GDP

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

However, it benefited India as well

1) Infrastructure creation : (eg) India is 2nd largest in road infrastructure.

2) Investments in critical emerging technologies. (eg) Semiconductor.

Challenges in Domestic resource mobilization :-

1) High imports causing burden on forex. (eg) crude oil

2) Low stage of India's IT sector
(eg) CAGR - X-10%)

3) Twin Balance Sheet issue

4) Capital flight due to falling Rupee

5) Reduction in employment and return to agriculture (eg) skill deficit.

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

Alternate avenues to sustain long-term Growth

1) Space sector leverage. (eg) Skyroot aerospace & Agnikul cosmos.

2) Allow easier land acquisition. (eg) Semicond

3) Monetization of unused Assets. (eg) Monetization pipeline

4) Promotion of PPP (Public Private Partnership. (eg) BOT & HAM Model

5) Using closed sectors. (eg) Shanti Act to allow nuclear liberalisation.

Thus, Private investment is required to boost growth and reach Developed India

PW ONLYIAS

Q. 7

भारत में हालिया आर्थिक संवृद्धि के साथ-साथ श्रम बल भागीदारी में वृद्धि देखी गई है। इस प्रवृत्ति का परीक्षण कीजिए और एक ऐसी विकास रणनीति का सुझाव दीजिए जो श्रम उत्पादकता को प्रभावित किए बिना पर्याप्त रोजगार का सृजन करने में सक्षम हो। (15 अंक, 250 शब्द)

Recent economic growth in India has been accompanied by increased labour participation. Examine this trend and suggest a growth strategy that can generate adequate employment while maintaining labour productivity. (15 Marks, 250 Words)

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

India's labour Participation rate has been ~~at~~ at 55%. (female - 40%.) - Economic survey.

Reasons for increased economic growth

1) Employability reached at >54%.

2) Health Infrastructure improvement
   (eg) >90% Institutional Deliveries (NFHS-5)

3) Rising exports : (eg) Cars, petrochemical products to LATAM.

4) Increased investments. (eg) Tower and Tesla investments.

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

Challenges in labour force participation and economic growth

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1) Low female participation.
(eg) <40%.

2) Low STEM Exposure: (eg) 47% women graduate from STEM but only 27% in workforce.

3) Skill Deficit: (eg) <6% - PLFS

4) Disease Burden and Malnutrition.
(eg) 18.6% (NFHS-5) and TB

उम्मीदवारों को इस हाशिए में नहीं लिखना चाहिए
Candidates must not write on this margin

Growth Strategy to Generate employment

1) Skilling : PM Kaushal Vikas Yojna

2) Health improvement via National Health Mission & Mission Indradhanush.

3) Female Participation in STEM.

(eg) PM SWATI, KJRAN

4) Education : (eg) Samagra Siksha Abhiyan.

5) 360° development.

Thus, India need to improve labour participation to utilize demographic Dividend.